Points to remember

- Not–for–profit entities exist to provide services to the members or to the society at large.
- The three principal accounting statements of a not–for–profit organisation include Receipts and Payments Account, Income and Expenditure Account and Balance Sheet.
- The Receipts and Payments Account is a summarised cash book which records all cash receipts and cash payments effected during an accounting year irrespective of the nature as to capital or revenue, irrespective of the period to which it belongs, that is, whether it relates to the previous or current year or subsequent year.
- Income and Expenditure Account is prepared to ascertain the excess of revenue income over revenue expenditure (surplus) or excess of revenue expenditure over revenue income (deficit) for a particular accounting year, which is the result of the entity's over all activities for the accounting year.
- Opening capital is found out by comparing the opening balances of assets and liabilities.
- The Balance sheet is prepared at the end of the accounting year to show the financial position on that date. It includes the capital fund or accumulated fund, special purpose funds, long term liablilities and current liabilities on the liabilities side and fixed assets and current assets on the assets side.

Self–examination questions

I Multiple choice questions

BYLMI

Choose the correct answer

1. Receipts and payments account is a

(a) Nominal A/c (b) Real A/c
(c) Personal A/c (d) Representative personal account

2. Receipts and payments account records receipts and payments of

(a) Revenue nature only (b) Capital nature only
(c) Both revenue and capital nature (d) None of the above

3. Balance of receipts and payments account indicates the

(a) Loss incurred during the period
(b) Excess of income over expenditure of the period
(c) Total cash payments during the period
(d) Cash and bank balance as on the date

4. Income and expenditure account is a

(a) Nominal A/c (b) Real A/c
(c) Personal A/c (d) Representative personal account

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